believe it is important for shareholders to appreciate fully the costs they pay to invest in a fund, and how performance expenses affect the fund's investment return. We also are proposing to require that funds qualitatively describe, in a footnote to the example, any of these performance expenses that are material as discussed below. We are not proposing to require a similar presentation based on hypothetical performance, because we believe that the primary purpose of a shareholder report is to provide shareholders with actual information about the fund's performance and expenses over the past year or half-year period.[158]

We also are proposing certain ETF-specific disclosures that would provide shareholders more transparency into the unique cost structure of an ETF. Under our proposal, an ETF would be required to disclose two versions of the ending account value, one based on the ETF's net asset value return and the other based on its market value return.[159] This proposed requirement is designed to allow shareholders to understand any difference between the ETF's performance and market price, and to highlight for shareholders the indirect costs associated with investing in an ETF, including commissions and premium/discount costs.[160]

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158 *See supra* footnote 147 and accompanying text. While the current expense example based on a hypothetical 5% annual return was designed to help shareholders compare the expenses of their fund with those of other funds, we believe that the proposed requirement to present expense information as a percentage as well as a dollar amount also would provide this comparative value. *See supra* footnote 146 and accompanying text; *infra* paragraph accompanying footnote 161.

159 We are also proposing conforming changes to Item 13(a) of Form N-1A to incorporate the requirement for ETFs to disclose total return based on the ETF's per share market value return in the financial highlights. *See* proposed amendments to General Instruction 3 of Item 13(a) of Form N-1A.

160 *See* proposed General Instruction 1(i)(*i*) of Item 27A(c) of Form N-1A. We also are proposing to maintain the current instructions specific to ETFs, including the requirement to state that investors may pay brokerage commissions on their purchases and sales of ETF shares, which are not reflected in the expense table, as well as the requirement to exclude any fees charged for the purchase and redemption of the ETF's creation units. *See* proposed General Instruction 1(i)(*ii*) and 1(i)(*iii*) of Item 27A of Form N-1A.

Unlike the current expense presentation, we are proposing to require funds to present expense information in two formats: (1) as a dollar amount, as discussed above; and (2) as a percentage of a shareholder's investment in the fund (which would be a new addition to the current presentation). We believe that requiring two formats would provide shareholders with a more complete understanding of the expenses associated with their investments. The proposed new percentage-based expense information is designed to provide shareholders with a basis for comparing the level of current period expenses of different funds (as percentages are comparable). This addition would complement the dollar-based expense presentation, which is designed to permit shareholders to estimate the costs, in dollars, that they incurred over the reporting period. We are also proposing to require funds to give the expense columns (*i.e.*, the "costs paid" and "costs paid as a percentage of your investment" columns) of the table more prominence than the remainder of the expense table to draw the attention of investors to these important data points. Funds would have flexibility to use various text and table features to satisfy this requirement.[161]

We also are proposing several modifications to simplify other aspects of the required expense disclosure. First, we are proposing to remove the currently required narrative preamble to the expense table in its entirety.[162] As a replacement for this preamble, we are

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[161] *See* proposed General Instruction 1(c) of Item 27A(c) of Form N-1A (providing flexibility for funds to use, for example, graphics, larger font size, different border width or column shading, or different colors or font styles to satisfy this prominence requirement).

[162] Currently, a fund must precede the expense example with a narrative preamble explaining that the purpose of the expense example disclosure is to help shareholders understand the ongoing costs of investing in the fund and to compare those costs with the ongoing costs of investing in other mutual funds. The preamble defines ongoing costs as fund expenses, including management fees and distribution [and/or service] (12b-1) fees. *See* Item 27(d)(1) of Form N-

proposing certain specified brief required footnotes to the table.[163] We believe that the simplified expense table, along with the footnotes to the table that we would require funds to include, would provide shareholders with the most relevant information from the lengthy preamble that currently precedes the expense example.

First, a fund would be required to include a footnote to the "total return before costs paid" column that qualitatively describes, in plain English, other costs that are included in the fund's total return, if material to the fund. For example, if applicable, the fund should explain that total return includes fund investment transaction costs, securities lending costs, or AFFE, and that these costs materially reduced the fund's return.[164] We believe that requiring this qualitative discussion would give funds the opportunity to describe certain expenses that may be difficult to calculate, but that materially affect fund performance. Also, by requiring funds to describe these types of performance expenses in a footnote, while including the direct costs of the fund in the expense example, shareholders might be better able to appreciate the fact that the costs associated with their investment include both fixed costs and indirect variable costs.

Furthermore, a fund would be required to briefly explain, in plain English, in a footnote to the "Costs paid as a percentage of your investment" column that the expense information does not reflect shareholder transaction costs associated with purchasing or

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[163] *See* footnotes to the expense example in proposed Item 27A(c).

[164] *See* Instruction 1(f) to proposed Item 27A(c)

selling fund shares.[165] This would draw investor attention to the fact that there may be additional costs not reflected in the expense example, if applicable. Finally, if a fund's shareholder report covers a period of time that is less than a full reporting year, the fund would be required to include a footnote to the table noting this and explaining that expenses for a full reporting period would be higher than the figures shown.[166]

We also are proposing certain modifications to the instructions associated with the computation of fund expenses to reflect the proposed changes to the expense example. We are proposing an instruction that would direct funds to calculate "Costs paid" by multiplying the figure in the "Cost paid as a percentage of your investment" column by the average account value over the period based on an investment of $10,000 at the beginning of the period.[167] The figure in the "Cost paid as a percentage of your investment" column, in turn, would be the fund's expense ratio as it appears in the fund's most recent audited financial statements or financial highlights.[168] The figure in the "Ending account value (based on net asset value return)" column would similarly be derived from figures in the fund's audited financial statements or financial highlights. To calculate this figure, the fund would multiply $10,000 by the fund's net asset value return as it appears in the fund's most recent audited financial

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165 *See* Instruction 1(g) to proposed Item 27A(c). Funds would not be required to disclose the amount of such fees.

166 *See* Instruction 1(i) to proposed Item 27A(c). This would generally apply to newly formed funds that are required to file an annual or semi-annual report for a period less than the reporting period.

167 *See* Instruction 2(a) to proposed Item 27A(c) of Form N-1A.

168 *See* proposed Instruction 2(c). In the semi-annual report, the fund's expense ratio would be calculated in the manner required by Instruction 4(b) to Item 13(a) of Form N-1A, using the expenses for the fund's most recent fiscal half-year. *Id.*

statements or financial highlights.[169] The figure in the "Total return before costs paid" column would be calculated by subtracting $10,000 (the figure in the "Beginning account value" column) and the figure in the "Costs paid" column from the "Ending account value (based on net asset value return)" column.[170] Additionally, for ETFs we are proposing an instruction for how an ETF should calculate the ETF's ending account based on market value return.[171]

We are proposing to maintain certain of the current instructions that we believe would continue to provide useful information to shareholders. If a fund incurred any "extraordinary expenses" during the reporting period, we are proposing to continue to allow the fund to briefly describe, in a footnote to the expense table, what the actual expenses would have been if these extraordinary expenses were not incurred.[172] Similarly, if a fund is a feeder fund, we are proposing to continue to allow that fund to reflect the aggregate expenses of the feeder

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169 *See* proposed Instruction 2(e). In the semi-annual report, the fund's ending account value would be calculated in the manner required by Instruction 3 to Item 13(a) of Form N-1A. *Id.*

170 *See* proposed Instruction 2(d) of Item 27A(c) of Form N-1A.

171 *See* proposed Instruction 2(f) of Item 27A(c) of Form N-1A (requiring funds to multiply $10,000 by the fund's market value return). In an ETF's annual report, an ETF would be required to use the market value return as it appears in the ETF's most recent audited financial statements or financial highlights in its calculations. In the semi-annual report, the fund's market value return should be calculated in the manner required by Instruction 3 to Item 13(a) of Form N-1A. *Id.*

172 *See* Instruction 1(k) to proposed Item 27A(c) of Form N-1A (defining "extraordinary expenses" as "expenses that are distinguished by their unusual nature and by the infrequency of their occurrence. Unusual nature means the expense has a high degree of abnormality and is clearly unrelated to, or only incidentally related to, the ordinary and typical activities of the Fund, taking into account the environment in which the Fund operates. Infrequency of occurrence means the expense is not reasonably expected to recur in the foreseeable future, taking into consideration the environment in which the Fund operates. The environment of a Fund includes such factors as the characteristics of the industry or industries in which it operates, the geographical location of its operations, and the nature and extent of government regulation"); *see also* Instruction 2(a)(ii) to Item 27(d) of Form N-1A.